UK Sole Trader Tax Tracker – User Guide (2026/27)

Thank you for your purchase. This guide takes about 5 minutes to read. Questions? Contact [YOUR SUPPORT EMAIL].

1. Opening the file

Excel: open the .xlsx and enable editing. **Google Sheets:** upload to Google Drive, right-click → Open with → Google Sheets (or File → Import). No macros are used, so everything works in both.

2. The sheets

Sheet	What it does
Start Here	Short instructions and notes
Settings	Tax year dates, tax rates and thresholds, expense categories
Income	Log every payment you receive (1,000 rows)
Expenses	Log every business cost, choosing a category from the drop-down (1,000 rows)
Quarterly Summary	Income, expenses by category and profit for each quarter and the full year
Tax Estimate	Estimated Income Tax and Class 4 NIC, plus a monthly "set aside" figure

3. Step by step

1. Check the tax year start date on **Settings** (default 6 April 2026).
2. Enter each payment on **Income**: date, customer, description, amount. The quarter fills in automatically.
3. Enter each cost on **Expenses**, choosing the category from the drop-down.
4. Open **Quarterly Summary** after each quarter ends and use the totals for your Making Tax Digital quarterly update.
5. Open **Tax Estimate** at any time to see roughly what to set aside.

4. How the quarters work

Quarter	Period
Q1	6 April – 5 July
Q2	6 July – 5 October
Q3	6 October – 5 January
Q4	6 January – 5 April

Anything dated outside your tax year is labelled "Outside tax year" and counted in the check cell on the Quarterly Summary, so nothing is silently missed.

5. How the estimate is calculated

- Taxable profit = income minus expenses, or minus the £1,000 trading allowance if that is higher.
- Personal allowance applies in full up to £100,000 of profit, reducing by £1 for every £2 above that.
- Income Tax at 20% / 40% / 45% using the bands on the Settings sheet.
- Class 4 NIC at 6% between the lower and upper profits limits and 2% above.

> **Assumptions:** your only income is this self-employment; England, Wales and Northern Ireland rates (Scottish income tax rates differ); no student loan, pension or other reliefs; no payments on account.

> **Important:** this workbook gives estimates to help you plan. It is not tax advice and does not submit anything to HMRC. Always check current rates on GOV.UK and consult an accountant if unsure. Rates are editable on the Settings sheet.

6. Tips

- Only type in the yellow cells; formulas in other cells should not be overwritten.
- Keep receipts – this tracker records figures, it does not replace evidence.
- Save a fresh copy of the file each tax year and change the start date on Settings.

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